

► FY' 2023

Results and Strategy update

12 March 2024 ►





Managing Director & Chief Executive Officer
Kariuki Ngari

03 - 10
21 - 23



Chief Financial Officer
Chemutai Murgor

12 - 19



Strategy Update

Kariuki Ngari

Managing Director & Chief Executive Officer



Our Strategy

Focused execution continues to deliver sustainably higher returns

Strategic Pillars

- Continued strong execution of our four strategic pillars



Network



Affluent



Mass Retail



Sustainability

Financial Performance

- Strong financial performance
- Strong balance sheet and robust capital position
- Consistent growth in shareholder returns

Outlook

- External environment improving but geo-political risks remain elevated



Executing our Strategy amidst a challenging macro-economic environment



Strategic Priority 1 of 4: Network

Our strong network and superior digital solutions make us a top connector bank for our clients

Our Strategic Advantages

- Strong trade corridors support our ambition of being the top connector bank.
- Top 3 corridors: Europe, America, Middle East & Asia contributing 45%, 27% and 20% of corridor revenues respectively.
- Digital capabilities of our Straight2Bank platform.
- Access to diverse pools of capital.

Best Trade Finance
Bank Africa
Global Trade Review

Best Overall Bank for
Cash Management
Global Finance

Focus Areas

- Enhance client relationships with Global Subsidiaries, public sector and development organisations.
- Digital-first and data driven bank delivering on our client experiences.
- First class service and solutioning.

Progress

- Processed circa **21%** on the recent IFB issue, **KES 50.5** billion by attracting global capital.
- **90%** Straight2Bank penetration with utilisation at **81%**.
- Network business grew **72%** to **KES 17.1** billion vs 2022.
- Global Subsidiaries segment revenues up **36%** to **KES 6.4** billion.



Strategic Priority 2 of 4: Affluent

We continue to accelerate growth in this segment through superior products, digital capabilities and partnerships

Our Strategic Advantages

- Access to our Wealth Management solutions through self service with over 180 funds.
- Personalised expert wealth advice.
- International Banking proposition across our footprint in Hong Kong, Singapore, UAE, Jersey and India.
- 69 Wealth Management Certified Relationship Managers.



Focus Areas

- Accelerate growth of the client base.
- Increase New to Wealth Clients.
- Establish the International Banking Proposition.

Progress

- The Affluent segment contributes **58%** of our CPBB revenues.
- Segment revenues up **29%** year on year to **KES 11.5** billion.
- **25%** growth in Wealth AUM to **KES 185.5** billion (higher than total Retail deposits).
- We have **24** sustainability funds with an AUM of **KES 922** million.



Strategic Priority 3 of 4: Mass Retail

We continue to grow through our proven digital capabilities and value adding partnerships

Our Strategic Advantages

- End to end digital solutions for financial services from the SC Mobile App.
- Key partnerships in Employee Banking enable us to cross sell solutions and drive-up quality acquisitions.
- Inclusive Wealth Management solutions with low entry requirements through SC Shilingi Funds.



Focus Areas

- Pivot towards ‘Do it Yourself’ digital-first model.
- Sharpen our onboarding and engagement capabilities through digital sales and marketing.
- Continue investments in SC Shilingi Funds to increase financial inclusion.

Progress

- Digitised loan and credit card acquisition via SC Mobile App. **84%** of our loans are processed digitally.
- Number of new accounts up **3X** post launch of digital bank, accounting for **6.4%** of CPBB revenues (**KES 1.28** billion, up **104%** YoY).
- Digital penetration of the segment at **75%**.
- SC Shilingi Funds AUM increased **6X** to **KES 5.2** billion from KES 856.3 million.



Strategic Priority 4 of 4: Sustainability

We have made demonstrable progress implementing our sustainability pillar

Our Strategic Advantages

- Leveraging on our over 100 Sustainable Finance experts across the globe.
- 40+ Sustainable Finance solutions across our business.
- Leading Sustainable Finance franchise globally.



Focus Areas

- Sustainable Finance.
- Responsible Company.
- Inclusive Communities.

Progress- Sustainable Finance

- **KES 15** billion Sustainability Linked Loan, largest & first in the market.
- Sustainable Finance revenue up to **KES 1.28** billion from KES 109 million.
- Partnered with a local corporate to enable individuals and SMEs to transition to clean energy.



Strategic Priority 4 of 4: Sustainability

We have made demonstrable progress implementing our sustainability pillar



Progress- Responsible Company

- **384,000** tree seedlings planted.
- Achieved **27%** reduction in carbon emissions from 2021 baseline.
- Solar installation and rainwater harvesting systems complete for **4 branches**. Solar Carport installation underway in Head Office.
- All sites are certified as single use plastic free and LED compliant.
- **97%** waste recycled in Head Office and Kenyatta Branch, paper usage down by **20%** from 2022.

Progress- Inclusive Communities

- **KES 130** million invested in Futuremakers. A total of **21,500** beneficiaries with **11%** being persons with disabilities and **86%** women.
- Supplier diversity now at **30%** from 2021 baseline of 17%.
- **81%** employee volunteering translating to **1,507** days.



What does this translate to?

Chemutai Murgor
Chief Financial Officer



Solid Performance: 23% Revenue growth, 15% growth in PBT

FY'23 performance (KES billion)

Income Statement	FY'23	FY'22	YoY
Net interest income	29.3	22.2	32%
Non-interest Income	12.4	11.8	6%
Operating income	41.7	34.0	23%
Operating expenses	(18.7)	(15.6)	(20%)
Pre-provision operating profit	23.0	18.4	25%
Net impairment charge	(3.4)	(1.3)	(162%)
Profit before taxation	19.6	17.1	15%
Profit after taxation	13.8	12.1	15%
Earnings per share	36.2	31.5	15%

Key Indicators

NIMs (%)	10.4	8.8	160bps
Cost income ratio (%)	44.8	45.9	-110bps
Cost of Risk (%)	2.0	1.0	100bps

Performance highlights

- **32%** growth in net interest income from client lending, increased short term investments in money markets, and improved margins.
- Non-interest income up **6%** underpinned by foreign currency trading and increased digital investments driving growth in transactions volume.
- Expenses up **20%** YoY from inflationary pressures, currency depreciation, business growth and targeted investments.
- Impairment losses on loans and advances up by KES 2.1 billion reflecting continued active management of the credit portfolio. Credit quality remained resilient, but we remain alert to a volatile and challenging macro-economic environment.



Well positioned and diversified balance sheet

FY'23 performance (KES billion)

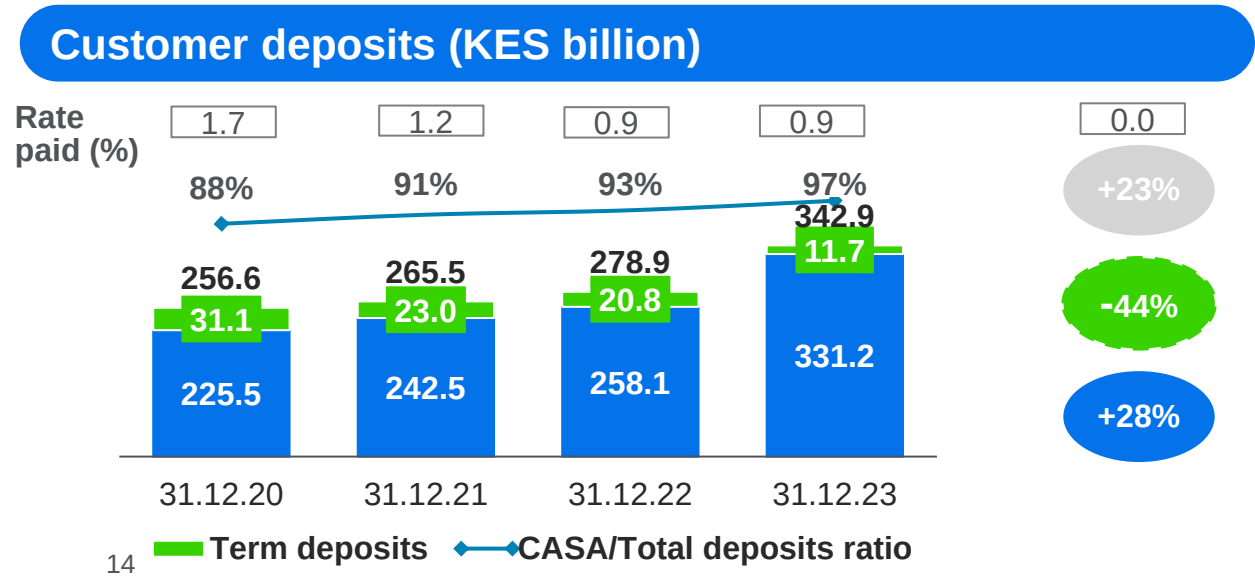
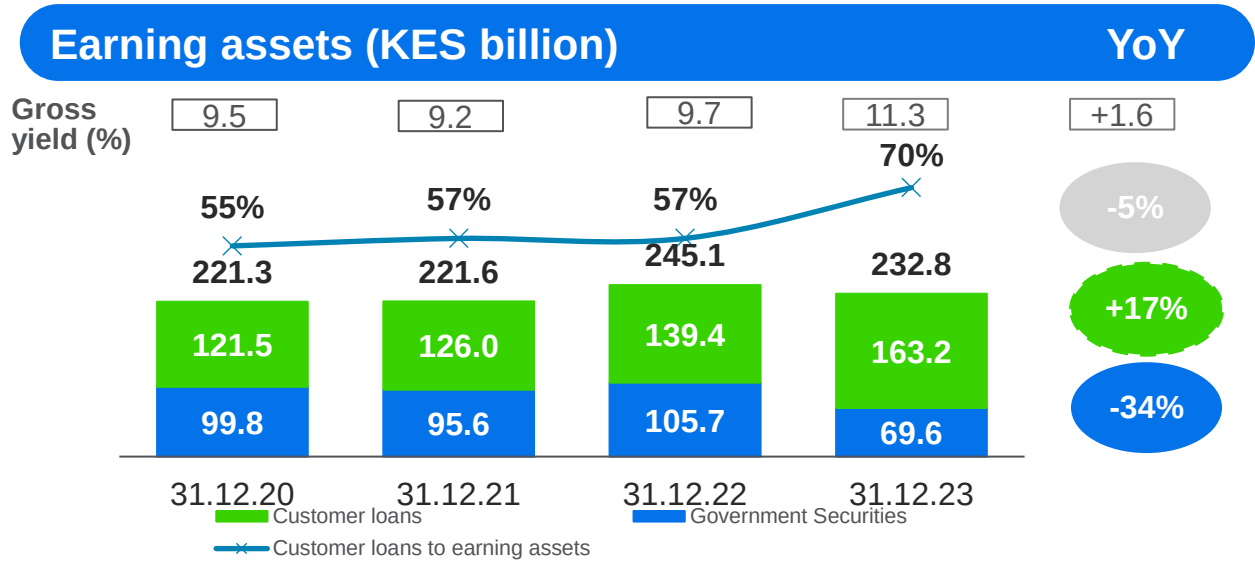
Balance Sheet (highlights)	FY'23	FY'22	YoY
Assets			
Balances due from CBK	38.9	19.8	96%
Investment in government securities	69.6	105.7	(34%)
Group balances	129.3	96.1	35%
Loans and advances-LCY	112.8	95.1	19%
Loans and advances-FCY	50.4	44.3	14%
Net Loans and Advances to customers	163.2	139.4	17%
Total Assets	429.0	381.3	13%
Liabilities			
Customer deposits-LCY	186.4	164.8	13%
Customer deposits-FCY	156.5	114.1	37%
Customer deposits	342.9	278.9	23%
Balances due to CBK	-	7	(100%)
Balances due to banks	4.3	10.8	(60%)
Total Liabilities	429.0	381.3	13%
Key ratios (%)			
LCY Asset Deposit ratio	60.5%	57.7%	2.8%
FCY Assets Deposit ratio	32.2%	38.8%	(6.6%)
Liquidity ratio	66.3%	73.0%	(6.8%)
NPL Ratio	9.7%	14.3%	(4.6%)

Performance highlights

- Our total exposure to CBK and government securities stood at KES **108.5** billion (**25%** of total assets) compared to KES 125.5 billion in December 2022 (**33%** of total assets), a reduction of **8%**, largely reinvested in customer assets (up **17%** YoY; local currency up **19%** YoY).
- Asset quality improved significantly against a challenging macro-economic environment. NPL Ratio improved by **460 bps** to **9.7%**.
- Deposits up **23%**, funding quality remains high with CASA at **97%** of total deposits.



Robust Balance Sheet: Customer Deposits up 23%, Customer Loans up 17%



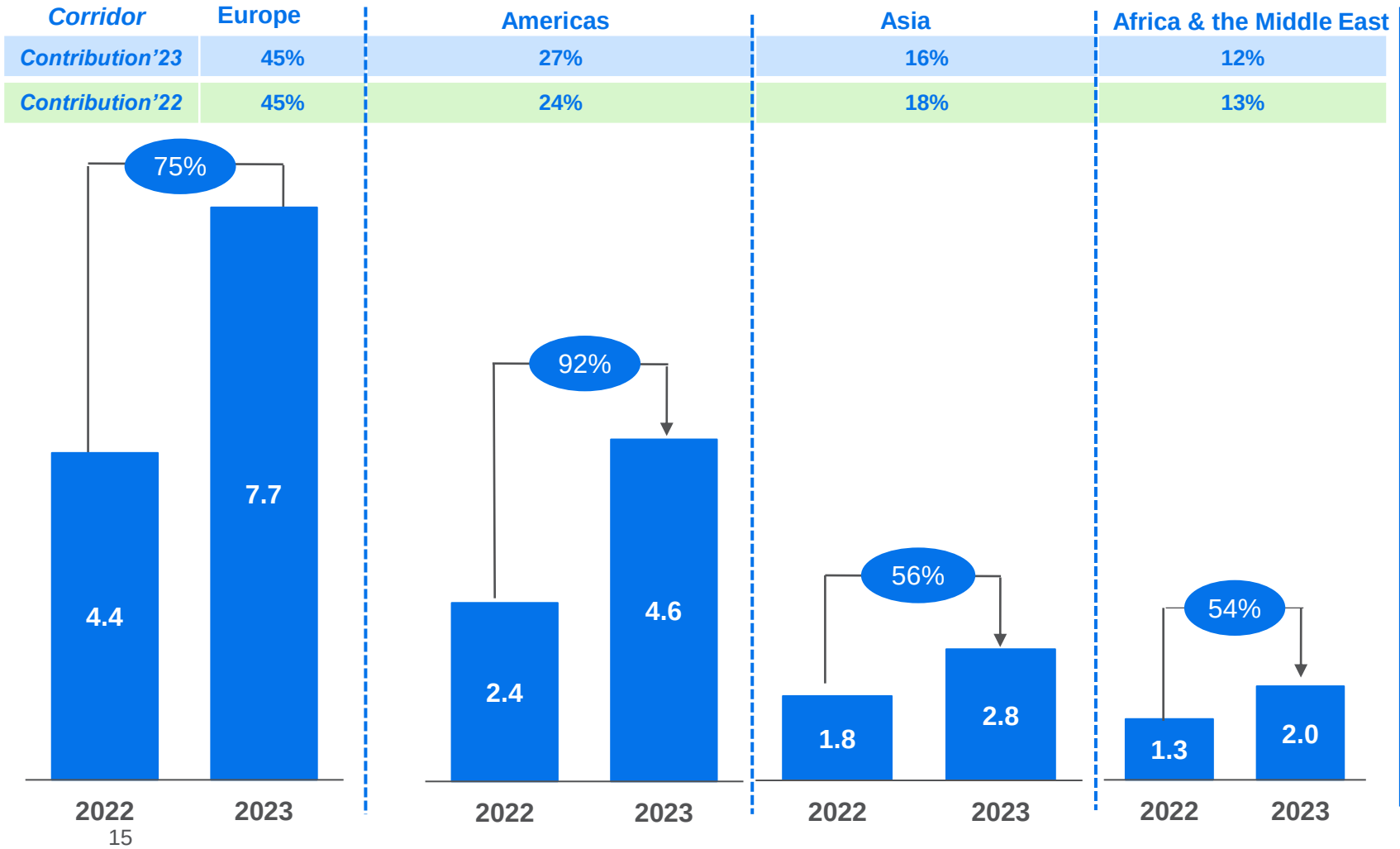
Performance highlights

- Strong pivot towards client assets during the year.
- LCY loans growth of **19%** driving accelerated overall net loans growth of **17%**.
- Well diversified customer deposit base providing opportunity for growth.
- Stable funding base with **97%** CASA to total deposit ratio.



Highly profitable growth in cross-border corridors

CCIB cross-border (network) income (KES billion)



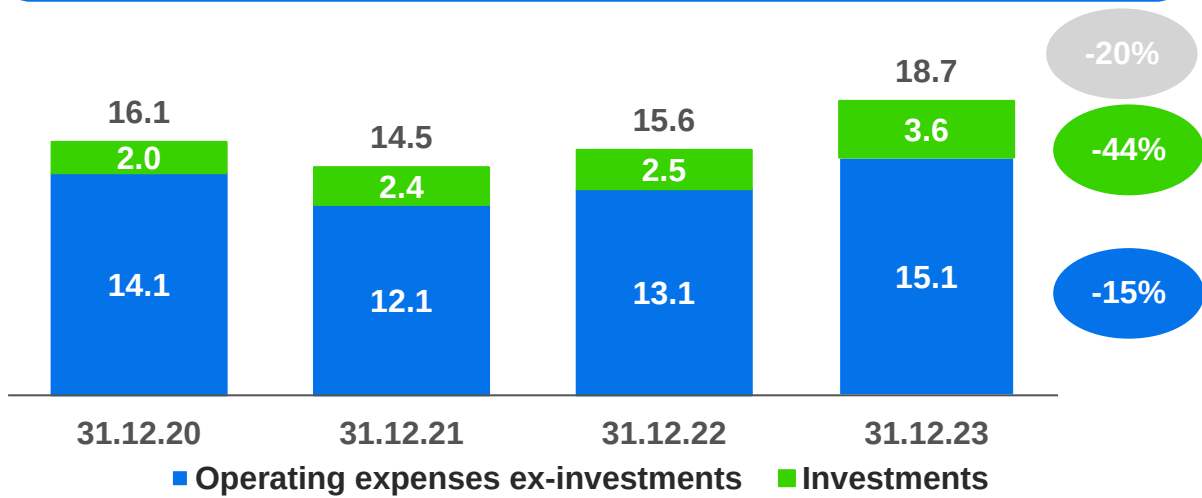
Performance highlights

- 2023 CCIB cross-border income **KES 17.1** billion, up **73%** YoY.
- Europe & Americas continue to be the largest contributor driven by rising interest rates.

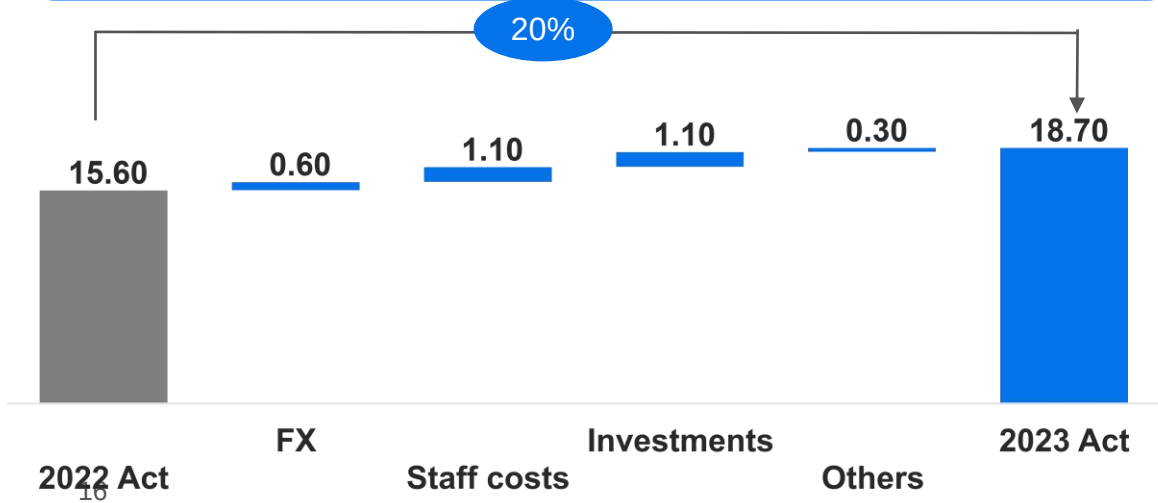


Strong progress implementing our Digital strategy

Operating expenses (KES billion) YoY



2023 vs 2022

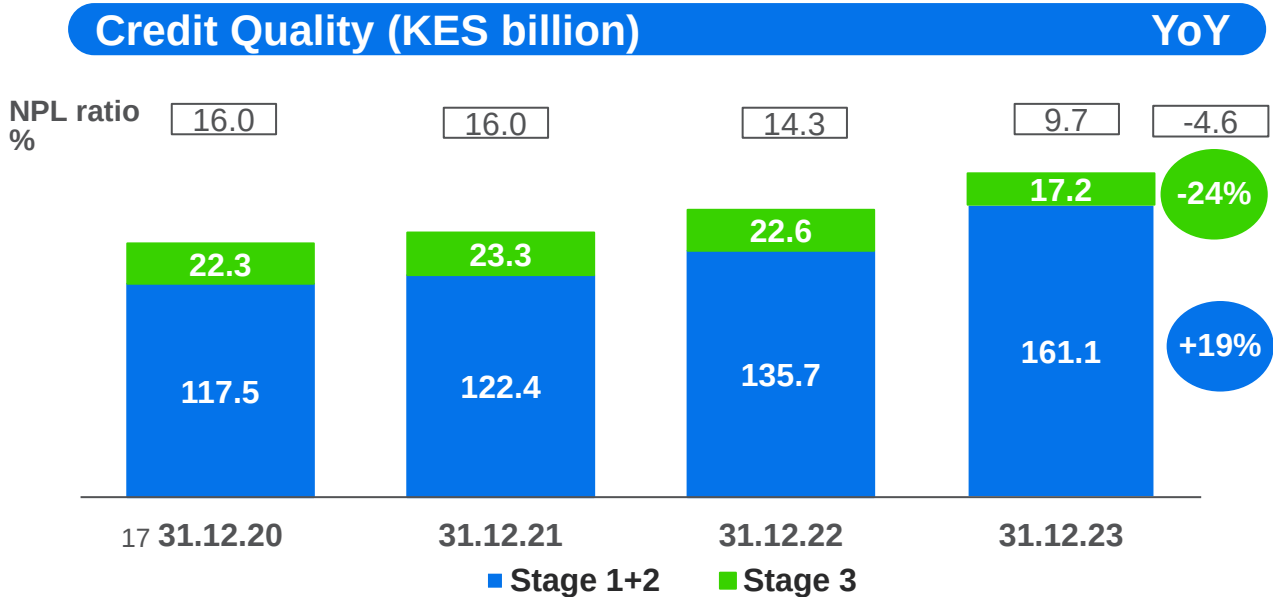
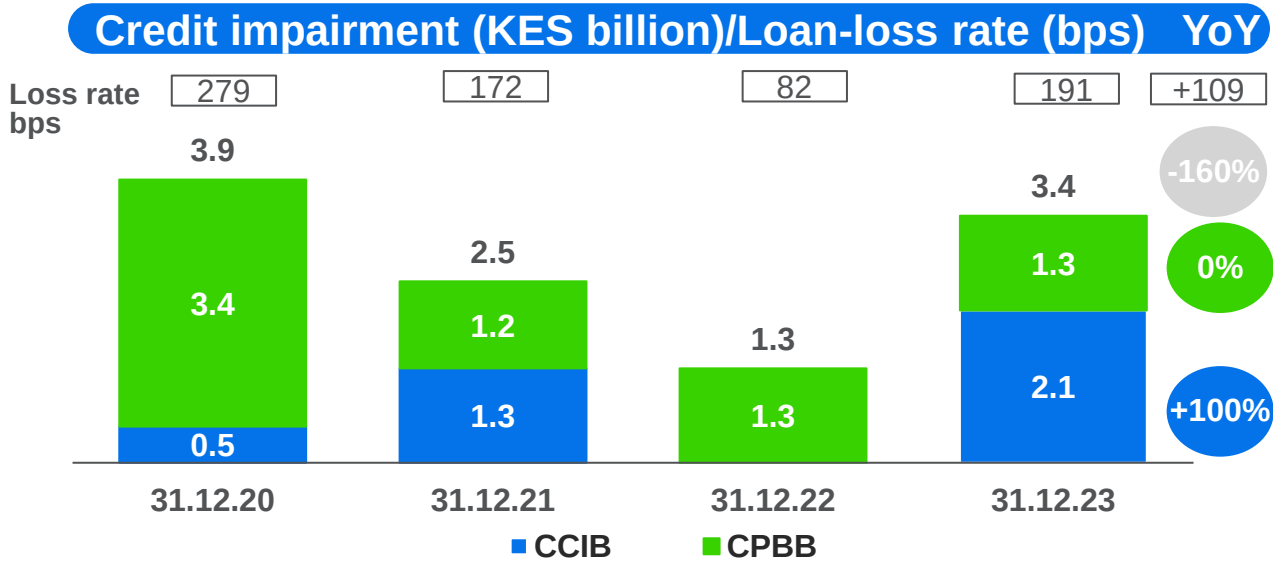


Performance highlights

- KES **10.5** billion cumulative investments in the last four years, 16% of the total cumulative costs.
- 2023 expenses up **20%** YoY largely in staff costs, investments, each KES 1.1 billion, and other operating expenses.
- Staff costs growth from performance-related pay.
- Investments up on account of digitisation.
- 2023 positive jaws of **3%**.



Strong cover ratio, improving loan book quality



Performance highlights

- Impairments losses on loans and advances up by **KES 2.1** billion reflecting continued active management of the credit portfolio.
- Credit quality remained resilient, but we remain alert to a volatile and challenging macro-economic environment.
- Strong cover ratio of **76.2%** and NPL ratio of **9.7%**.
- Cover ratio considerably higher than industry average. NPL ratio lower than industry average



Strong and resilient performance across segments

Segment Performance (KES billion)

Segment	CCIB			CPBB			C&O		
	FY'23	FY' 22	ΔYoY	FY'23	FY' 22	ΔYoY	FY'23	FY' 22	ΔYoY
NII	11.2	7.6	47%	13.8	9.8	41%	4.3	4.8	(10%)
Non-NII	8.2	6.0	37%	6.7	5.8	16%	(2.5)	-	(100%)
Revenue	19.4	13.6	43%	20.5	15.6	31%	1.8	4.8	(63%)
Expenses	(7.8)	(6.6)	(18%)	(9.6)	(8.5)	(13%)	(1.3)	(0.4)	(225%)
ECL	(2.1)	-	(100%)	(1.3)	(1.4)	7%	-	-	-
PBT	9.5	7.0	36%	9.6	5.7	68%	0.5	4.4	(89%)
Customer loans	90.7	69.2	31%	72.5	70.2	3%			
Customer Deposits	175.4	135.9	29%	167.5	143.0	17%			
<i>Assets to Deposits</i>	52%	51%	1%	43%	49%	(6%)			
<i>Revenue Contribution</i>	47%	40%	7%	49%	46%	3%	4%	14%	(10%)
<i>PBT Contribution</i>	48%	41%	8%	49%	33%	16%	3%	26%	(23%)

Performance highlights

Corporate, Commercial & Institutional Banking (CCIB)

- Income driven by strong product performance [Transaction Banking & Financial Markets] coupled with robust network growth.

Consumer, Private & Business Banking (CPBB)

- Strong Wealth Management momentum, deposit growth and improved margins driving the growth.

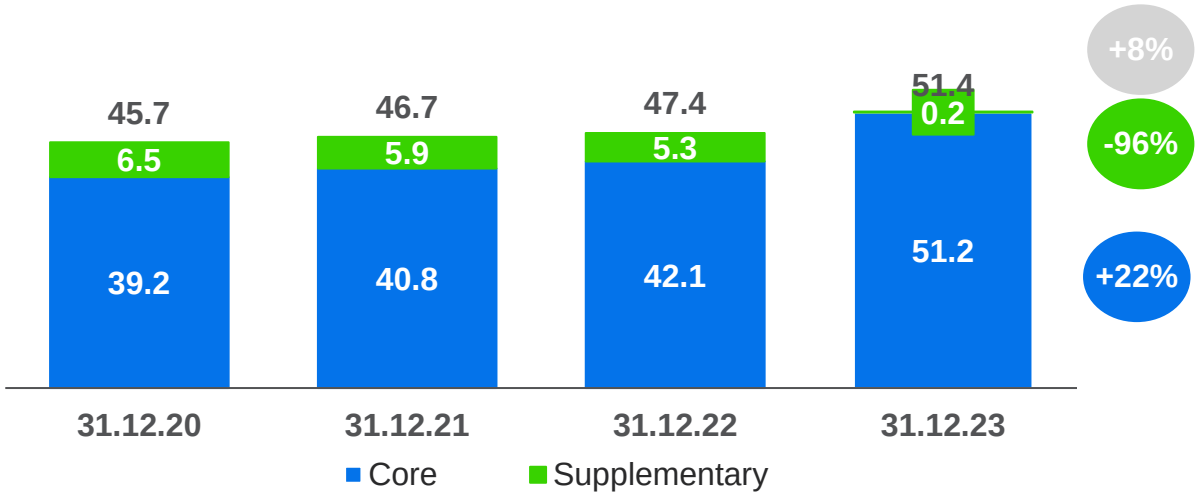
Central & Other (C&O)

- Income impacted by Mark To Market (MTM) losses.

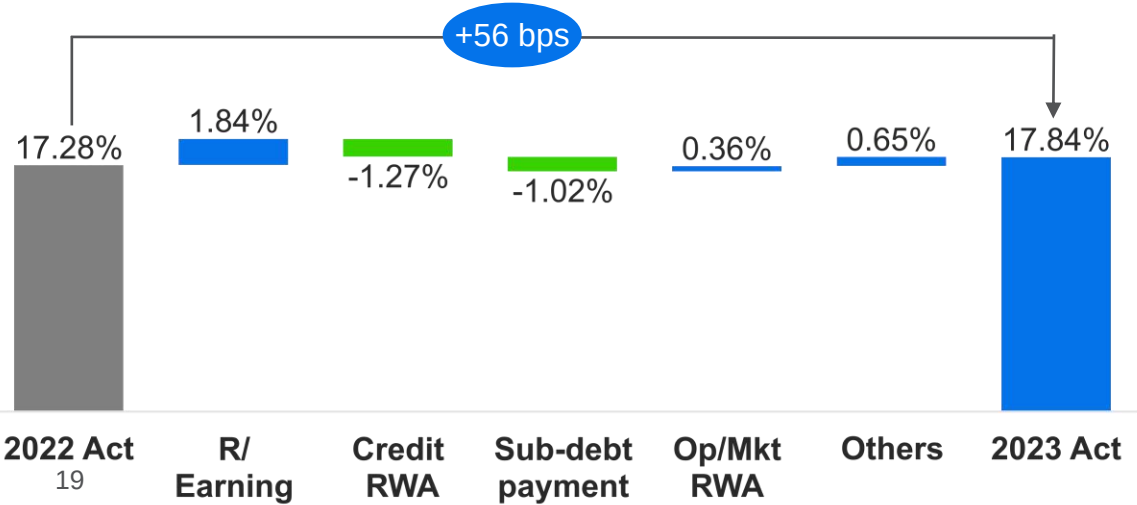


Capital strongly positioned to support balance sheet growth

Capital (KES billion) YoY



CAR ratio (%)



Performance highlights

- Capacity to support growth whilst managing regulatory requirements.
- Aligned to our capital risk appetite.
- Retired our outstanding subordinated debt (Tier 2 capital) as we anticipated a sharp rise in interest rates.



Our disciplined execution of the strategy in 2023 has created capacity for substantial shareholder distribution

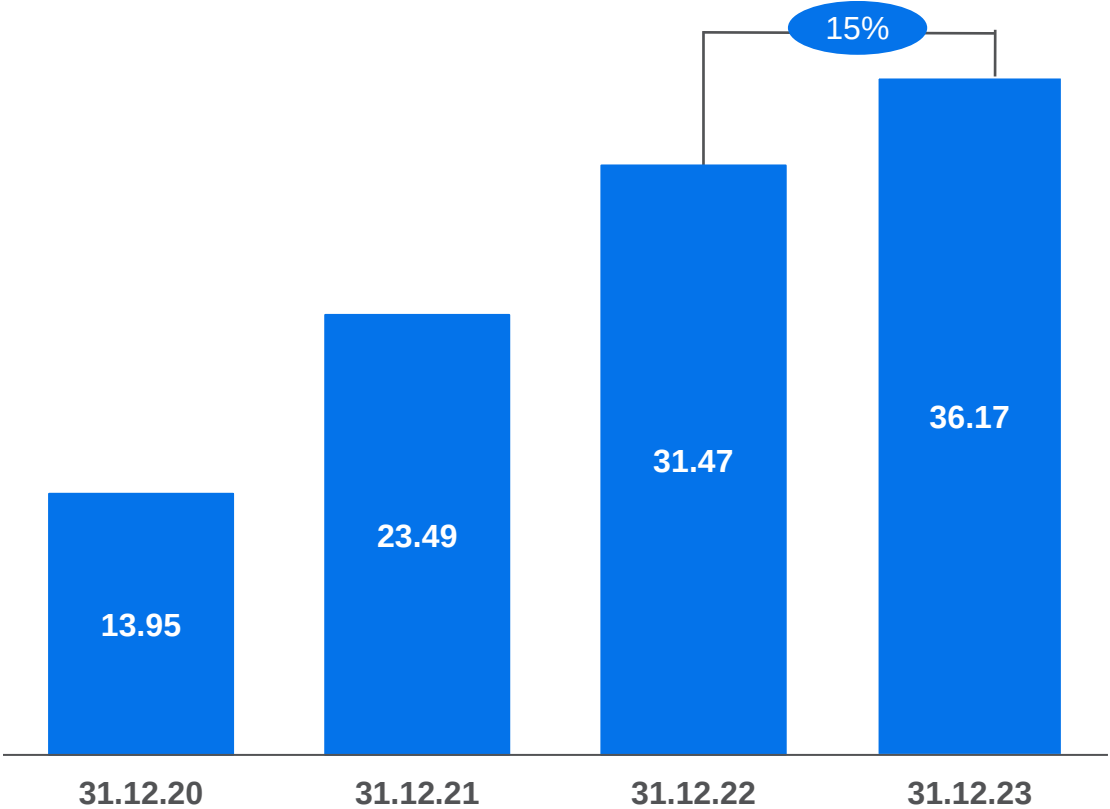
Kariuki Ngari

Managing Director & Chief Executive Officer

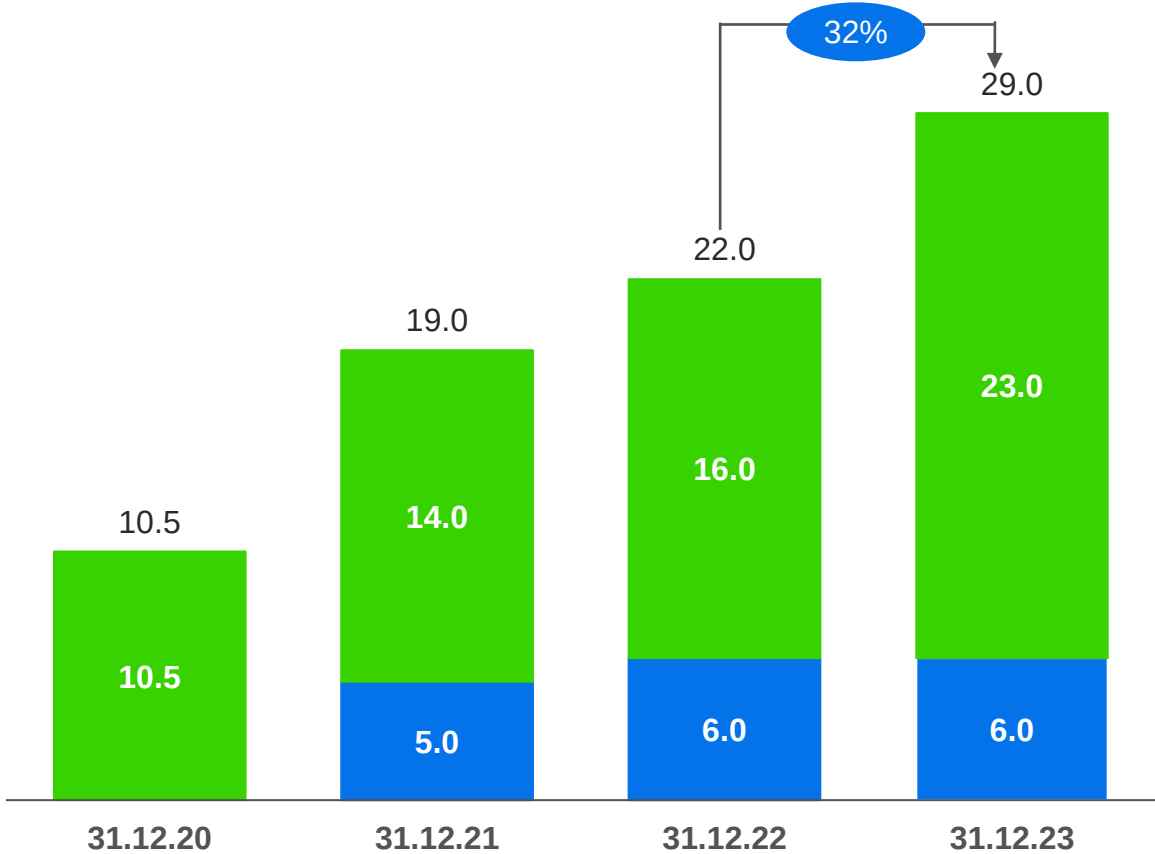


Sustainable returns to our shareholders

Earnings per share (KES)



Dividend payout (KES)



- The Board will be recommending to the shareholders a final ordinary dividend of **KES 23.00** per ordinary share for the year.
- This is in addition to the interim dividend of KES 6.00 paid in December 2023, taking total dividend to **KES 29.00 (80% pay-out ratio)**.



Financial performance summary



Operating Income

KES 41.7 billion ▲ 23%



Operating costs

KES 18.7 billion ▲ 20% YoY



Profit before tax

▲ 15% to KES 19.7 billion

Profit after tax

▲ 15% to KES 13.8 billion



Customer L&A ▲ 17% KES 163.2 billion

Customer Deposits ▲ 23% KES 342.9 billion



Total CAR
17.84%



Earnings per share

▲ 15% to KES 36.17



As we close

Outlook

- Improving macro economic environment but geo-political risks remain elevated.
- Continued focus on our competitive advantage.
- Continued progress on our Sustainability goals.
- Embedding the digital lending journey in CPBB.
- Driving our Medium Enterprises (ME) Client Value Proposition (CVP).

Potential Tailwinds

- Global trade and investments to benefit our trade corridors in Africa, Middle East and Asia.
- Continued digitisation of services by the government.
- Increased government and client focus on Sustainability.

Potential Headwinds

- Continuing geo-political tensions (Russia/Ukraine; Israel/Palestine).
- Shipping routes disruptions (red sea, black sea), impact on global trade.
- Inflationary pressure largely from external factors.



